

		or oppose an issue in a motion constitutes a waiver on that issue. (See <i>Nazir v. United Airlines, Inc.</i> (2009) 178 Cal.App.4th 243, 288; see also <i>Wright v. Fireman's Fund Ins. Companies</i> (1992) 11 Cal.App.4th 998, 1011 ["it is clear that a defendant may waive the right to raise an issue on appeal by failing to raise the issue in the pleadings or in opposition to a . . . motion"].) Defendant shall give notice of this ruling.
3	Goodfield vs. Frahm 30-2019-01050047	<u>Motion for Sanctions</u> Defendants Daniel A. Frahm's and Claire Frahm's Motion for Sanctions Under Code of Civil Procedure 128.7 is DENIED. All requests for sanctions are DENIED. Defendants Daniel A. Frahm and Claire Frahm (Frahm Defendants) move for sanctions pursuant to Civil Procedure Code section 128.7 against Plaintiffs Bruce Goodfield and Kerry Goodfield. <u>Standard for Sanctions</u> By submitting to the court a pleading, petition, written notice of motion, or other similar paper, an attorney or a party not represented by counsel represents that: (1) [The document] is not being presented primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation. (2) The claims, defenses, and other legal contentions therein are warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law. (3) The allegations and other factual contentions have evidentiary support or, if specifically so identified, are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery. (4) The denials of factual contentions are warranted on the evidence or, if specifically

		so identified, are reasonably based on a lack of information or belief. (See Code Civ. Proc., § 128.7, subd. (b).) The Civil Procedure Code authorizes the court to impose monetary sanctions on an attorney or an unrepresented party that violates any one of these representations. ((See Code Civ. Proc., § 128.7, subd. (c); <i>Eichenbaum v. Alon</i> (2003) 106 Cal App 4th 967, 976.) Thus, a court has discretion to impose sanctions if it concludes a pleading was filed for an improper purpose or was without merit, either legally or factually. (See <i>Bucur v. Ahmad</i> (2016) 244 Cal.App.4th 175, 189-190.) A claim is factually frivolous if it is "not well grounded in fact" and is legally frivolous if it is "not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law." (<i>Ibid.</i>) In either case, to obtain sanctions, the moving party must show the party's conduct in asserting the claim was objectively unreasonable. (<i>Ibid.</i>) A claim is objectively unreasonable if "any reasonable attorney would agree that [it] is totally and completely without merit." (<i>Ibid.</i>) At the same time, the moving party need not show subjective bad faith. (<i>In re Marriage of Reese & Guy</i> (1999) 73 Cal. App. 4th 1214, 1221.) The Court of Appeal has cautioned that "section 128.7 sanctions should be 'made with restraint', and are not mandatory even if a claim is frivolous." (<i>Peake v. Underwood</i> (2014) 227 Cal.App.4th 428, 448, quoting <i>Schlaifer Nance & Co. v. Estate of Warhol</i> (2d Cir. 1999) 194 F.3d 323, 334.) <u>Violation of Section 128.7(b)</u> Frahm Defendants claim that in light of the discovery of geotechnical reports commissioned by Plaintiffs, the testimony of witnesses, and the fact that Plaintiffs have demolished their pool, Plaintiffs' claims are frivolous and no objectively reasonable attorney would maintain this action.
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	However, The Court of Appeal has rejected the Frahm Defendants' argument that the evidence in this case shows that the action is frivolous. (See ROA #198.) Frahm Defendants argue that evidence, including evidence collected after the appeal, shows that Plaintiffs cannot prove that the pool defects in question were unobservable to them, that Defendants knew about the pool defects, and that Defendants knew that the Plaintiffs could not discover the pool defects through diligent attention. The Court of Appeal concluded that "what facts were known to the buyer [Plaintiffs] in a particular case and what facts were within the buyer's diligent attention and observation are factual matters to be resolved by the trier of fact. [Citations.] And, here, there was conflicting evidence. Buyers [Plaintiffs] stated they had no actual knowledge of the more extensive pool repairs or structural problems due to slope creep, and Kerry stated none of the undisclosed conditions could be seen during her agent visual inspection or at any other time. This is arguably corroborated by sellers' agent's visual inspection which did not note any observation of the undisclosed pool repairs or geotechnical engineering issues." (ROA #198 at p. 12.) Further, the Court of Appeal discussed what Frahm Defendants knew and whether they should have disclosed that information to Plaintiffs. (See <i>id.</i> at pp. 9-10.) The Court of Appeal found Frahm Defendants did not deny knowledge of several defects and repairs. (See <i>id.</i> at p. 9 ["[Plaintiffs] contend there was more that should have been disclosed. They argue sellers were obligated to tell them about (1) the more extensive work previously performed on the pool, including installation of a footing, saw cutting and insertion of steel rebar, and replastering on more than one occasion; (2) the pool shell rotation and slope creep; and (3) the then existing pool leak. Sellers do not deny knowledge of these additional matters, but instead argue they were not obligated to disclose them."].) Finally, the Court of Appeal determined that there was a disputed issue of material fact as to whether Frahm Defendants knew that that
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		the undisclosed facts were within the ability of Plaintiffs to discover: Turning to sellers' knowledge, whether sellers knew the undisclosed facts were not within the diligent attention of buyers is a factual issue on which there was conflicting evidence. On one hand, sellers noted they twice gave buyers the contact information for the company who performed the pool crack repairs and stated they believed buyers would contact that company if they were interested in the repair information. On the other hand, there was evidence not all the undisclosed information would have been discovered by contacting the pool crack repair company. Sellers possessed documents showing, at minimum, the pool replastering was performed by a different company and the pool shell rotation and slope creep issues were identified and known to companies other than the one for which sellers gave buyers contact information. (<i>Id.</i> at p. 13). Frahm Defendants now assert that they have more evidence than at the time of the appeal that contradicts Plaintiffs' version of events (e.g., two more reports and testimony from Plaintiffs' agent/broker about what was known to Plaintiffs or what knowledge could be imputed to Plaintiffs). However, the additional evidence does not result in there being no disputed issues of fact. The new evidence may make Frahm Defendants' arguments stronger, but the issues remain and need to be decided by the factfinder at trial. (See <i>Gerbosi v. Gaims, Weil, W. & Epstein, LLP</i> (2011) 193 Cal. App. 4th 435, 450 ["When a motion has partial merit, it is not 'totally and completely' without merit."].) In addition, Plaintiffs assert several reasons why the demotion of the pool was not spoliation of evidence. Thus, that is an issue that needs to be decided by the court on a motion regarding violation of the discovery statutes or laws requiring preservation of evidence. However, regardless of the outcome of a motion regarding spoliation of evidence, the fact that
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		Plaintiffs regraded the original pool excavation, in and of itself, does not lead to the conclusion that Plaintiffs claims are "not well grounded in fact" or are "not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law." Even where there is spoliation of evidence, that does not change the underlying facts or law of a case. Plaintiffs have failed to establish that there is no factual or legal basis for Plaintiffs' claims and the court must deny the motion. <u>Motion for Sanctions Brought for Improper Purpose</u> Plaintiffs request attorneys' fees and expenses for opposing the Motion for Sanctions pursuant to Civil Procedure Code section 128.7(c)(1). However, that provision only grants the court authority to award sanctions where a party successfully brings a motion under Section 128.7. (See Code Civ. Proc., § 128.7, subd. (c) [granting court authority to order sanctions where moving party shows subdivision (b) has been violated, not where non-moving party shows that subdivision (b) has not been violated].) However, Section 128.7(h) states that "[a] motion for sanctions brought by a party or a party's attorney primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation, shall itself be subject to a motion for sanctions." (Code Civ. Proc., § 128.7, subd. (h).) (fn.1) (fn.1) Plaintiffs cite to <i>Musaelian v Adams</i> (2011) 197 Cal.App.4th 1251, 1258, but that case primarily discusses Federal Rule of Civil Procedure Rule 11 and, in any case, concludes that sanctions may be awarded to a party opposing a motion for sanctions on a basis similar to Section 128.7(h). (See <i>id.</i> at p. 1258 ["Thus, although Rule 11 does not explicitly require a separate finding of violation of Rule 11 to award attorney fees incurred in opposing a Rule 11 motion, it appears that such fees are normally not awarded if the Rule 11 motion was not frivolous, unfounded, filed for an improper purpose, or otherwise unreasonable."].) In this case, Plaintiffs have presented no evidence that the Motion for Sanctions was brought for improper purpose. It is true that Plaintiffs have
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		presented evidence that the Motion for Sanctions was frivolous (because the Court of Appeal already rejected Frahm Defendants' primary arguments). However, Section 128.7(h) does not state that a motion for sanctions is itself subject to sanctions for frivolousness. The court therefore denies all requests for sanctions. Plaintiffs shall give notice of this ruling.
4	Hood Container Corporation vs. Riviera Beverages, LLC 30-2021-01211057	<u>Motion for Entry of Judgment</u> Plaintiff Hood Container Corporation's Motion for Entry of Judgment Based Upon Stipulated Settlement Agreement is GRANTED. Judgment shall be ENTERED in favor of Plaintiff Hood Container Corporation and against Defendant Riviera Beverages, LLC in the amount of \$10,000 plus reasonable attorney's fees of \$1,625 and reasonable costs. Plaintiff Hood Container Corporation shall prepare a proposed judgment and serve it on Defendant Riviera Beverages, LLC and submit it to the court pursuant to Rules of Court Rule 3.1590(h). The Court finds good cause to allow Plaintiff 20 days from the date of this ruling to prepare, serve, and submit the proposed judgment. Plaintiff Hood Container Corporation moves for an order to enter judgment against Defendant Riviera Beverages, LLC pursuant to the parties' stipulated settlement agreement. <u>Standard for Entry of Judgment Pursuant to Settlement Agreement</u> Civil Procedure Code section 664.6 provides: "If parties to pending litigation stipulate, in a writing signed by the parties outside the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement." (Code Civ. Proc., § 664.6, subd. (a).) Thus, "Code of Civil Procedure section 664.6 provides a summary procedure to enforce a settlement agreement by entering judgment